



New Paradigm of Competitiveness: Agro-Forestry and Natural Resource Augmentation

That brings me to another important constituent of the national agenda – the challenge of depleting natural resources, and the imperative need for business to create sustainable sources of raw materials in their quest for higher growth.

With 17 % of the world's population, India has only 4 % of fresh water resources and 1% of global forest resources. Coupled with the degradation triggered by economic growth and the effects of global warming, scarce natural resources will seriously limit the frontiers of future growth. It is obvious that longer-term competitiveness necessitates a far larger effort to augment and replenish the scarce natural capital at our disposal.

The Government has announced an ambitious National Action Plan on Climate Change which envisages several National Missions towards this objective. The Mission for a "Green India" and the National Water Mission, in conjunction with schemes like NREGA can certainly enable a new dimension of sustainable growth that also enhances livelihood creation.

In the coming years, stringent environmental regulations and civil society pressures will force businesses to integrate environmentally sustainable practices more comprehensively in their operations. The costs of compliance will go up significantly for those who pay scant attention to this vital area. On the flip side, addressing this challenge through innovative business strategies can shape a new paradigm of competitiveness with substantial benefits over time. This is aptly demonstrated by the experience of your Company in promoting social and farm forestry.

You are aware that ITC's Paperboards business is critically dependent on wood pulp for raw material. This requires long-term access to sustainable and cost-effective source of fibre supply. Many years ago, your Company took a strategic decision to source its fibre by mobilising tribals to plant trees on their private wastelands and encouraging small and marginal farmers to undertake farm forestry programmes in the economic vicinity of the mill. This strategy implied longer years of gestation, substantial investment, considerable uncertainty and risk. By investing in an aggressive clonal propagation programme your Company developed high-yielding disease resistant clones that have significantly improved yields and shrunk harvesting cycles, thereby gaining wide acceptance by the farming community. Today this programme covers nearly 96,000 hectares and has provided over 43 million person-days of sustainable livelihoods amongst the weakest sections of our society.

Your Company could have taken the easier route by importing pulp given the low import duty regime. However, adopting a more challenging route has, over time, contributed more significantly to your Company's competitiveness and the sustainability of its operations. As a result, your Company has emerged as the acknowledged market leader in the Paperboards segment. It is indeed a matter of pride that the entire

source of hardwood pulp is today derived from renewable social and farm forestry operations.

Your Company's Paperboards and Specialty Paper business has recently secured, through a rigorous process of qualification, membership of the Global Forest Trade Network of the WWF. This endorsement of your Company's procurement of pulpwood from sustainable forestry will strengthen its green credentials and add to its competitiveness in a carbon sensitive economy of the future.

The strategy to promote sustainable plantations has also enabled your Company to gain from the international carbon market mechanism. You will be happy to know that ITC's Social Forestry project in the Khammam District of Andhra Pradesh has received CDM registration making it the only large-scale forestry project in India, and the second after China, to receive carbon credits. Your Company will share the benefits of these carbon credits with the participating tribals and farmers, thereby leveraging a completely new opportunity emerging out of the international carbon markets to supplement their modest incomes.

Your Company's green business model has also yielded other additional benefits. A leading global manufacturer of mobile phones has chosen your Company's paperboards and packaging given the strong green credentials. This indeed exemplifies a unique source of competitiveness derived from your Company's green commitment. ITC's Education and Stationery Products Business has recently launched the 'Paperkraft' brand of premium business paper as the greenest paper in India, which not only uses pulp sourced from renewable plantations but is also produced with cutting edge ozone bleached elemental chlorine free technology. Several responsible corporate houses have already exercised their preference for the Paperkraft business paper. Such expressions of buyer preference will increasingly drive companies to adopt green practices contributing to a low carbon economy. Many more companies in the future would also resort to green buying as a measure of reducing their own carbon footprint. The Government can also encourage this process significantly by mandating a preference for such green procurement.

For a country like India, a new thrust on Agro-Forestry can contribute significantly to climate change mitigation. Afforestation not only creates an effective carbon sink, but also lends itself to multiple commercial applications. In the process, it also generates large numbers of sustainable livelihoods. You will recall that, in the AGM last year, I had extensively deliberated on this subject.

Unfortunately, policies do not necessarily incentivise agro-forestry despite its multiple benefits. While there are regulations in place to stop the felling of trees, there is none to promote the growing of trees. Renewable plantations can immensely help in creating an incremental carbon sink since larger usage of wood for construction, furniture and lifestyle products will go towards enlarging the inventory for captured carbon. Instead, a lower regime of customs duties is only helping the export of plantation related jobs. Similarly, import of wood products deny the generation of livelihoods within the country. Policy initiatives in this area therefore need to secure a larger opportunity for low carbon based economic growth and creation of green livelihoods.

